



Buying and selling business

Both private and public companies regularly change hands—they are bought, sold, and restructured to reflect changing business conditions. These deals all come under the umbrella term of mergers and acquisitions (M and A). Acquisition financing is usually needed to pay for the purchase of another company, often in the form of a loan or venture capital.

How to acquire a company

A company is typically acquired in one of two ways—either by a management team or by another company. When a company is buying, the result can be a merger, in which two companies join forces, an acquisition (outright purchase), or a divestiture, in which part of a company is hived off and sold. Management team purchases are often funded by private equity.

Target company

Management team acquiring

Private equity firms look for companies to buy and then sell their shares when profits have maximized. They fund the management team. *See pp.48–49.*

Buy-out

The existing management team buys out the company they work for.

Buy-in

An external management team buys into the company.

Divestiture

Part of company is split off to form new company; may become acquisition target. *See pp.44–45.*

FOR SALE